

Time of supply for GST [¶32-025]

[¶32-025]

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As a general rule, the time of supply is the earlier of:

- # the time an invoice is issued by the supplier or the recipient, or
- # the time any payment is received by the supplier.

The time of supply is particularly relevant to persons registered on an invoice basis, as the obligation to account for GST is triggered at the time of supply ([¶32-078](#)).

Time of invoice

The time of supply for GST purposes can be triggered by the issuing of an invoice. An “invoice” is defined as “a document notifying an obligation to make payment”. The invoice should record an obligation for the recipient to pay. However, the obligation to pay does not have to be immediate and can be delayed. The time of supply will arise upon the issue of an invoice even if the due date for payment is in the future.

In some instances, a supplier may issue a “conditional invoice” to a customer for a future or prospective supply before it is certain that supply will take place. Such invoices are treated for GST purposes more like offers to the recipient to supply the goods or services for the price recorded on the conditional invoice. However, the recipient is not yet bound to purchase that supply.

The Commissioner considers that an agreement for the sale and purchase of property does not generally constitute an invoice for the purposes of the “time of supply” rules ([¶32-510](#)).

In certain circumstances, taxable supply information can be created by the recipient of the supply ([¶32-155](#)).

Time of payment

The time of supply for GST purposes can also be triggered by the supplier receiving payment for the supply.

Interpretation statement [IS 25/23](#), “GST — Meaning of payment” discusses the Commissioner’s position on the meaning of “payment” for GST purposes as this meaning is relevant for determining the time of supply, timing for returning output tax or claiming input tax, and eligibility for a secondhand goods input tax deduction. [IS 25/23](#) summarised the Commissioner’s position as follows:

- # payment can be made in something other than money, for example by transferring property, providing services, using a promissory note or a bill of exchange
- # payment is not made if the purchase price for the supply is deferred or left owing under the supply agreement (see Example 5 in [IS 25/23](#)) but payment could be made by set-off against an existing debt owed by the supplier to the recipient (see Example 6 in [IS 25/23](#)), note the Commissioner considers there is a difference for GST purposes between an amount left owing under a supply agreement or an amount owing under a separate loan agreement (see [30] in [IS 25/23](#))
- # accounting entries may provide some evidence that a payment has occurred but may not always be sufficient (see Example 7 and 8 in [IS 25/23](#))
- # the general anti-avoidance provision (s 76) may apply to payment arrangements that fails the parliamentary contemplation test (see Example 3 in [IS 25/23](#)).

Example:

The receipt of a deposit applied to the benefit of the vendor triggers the time of supply and, if the vendor is registered on an invoice basis, a liability to account for GST on the total purchase price. See Case N24 ([1991](#)) 13 NZTC 3,199 and Case L67 ([1989](#)) 11 NZTC 1,391.

Example:

The deposit must be applied to the benefit of the vendor before a time of supply is triggered. The payment of the deposit to a stakeholder in relation to a conditional contract is not enough. See Case P75 (1992) 14 NZTC 4,504. Where a real estate agent or any other person holds the payment as a “stakeholder”, no such benefit is applied. This rule also applies where a solicitor holds a deposit as a stakeholder. See *Tax Information Bulletin* ¶147-119 Vol 4, No 7 at 14.

Interpretation statement [IS 10/03](#), “GST: Time of supply — payments of deposits, including to a stakeholder”, sets out the Commissioner’s policy of the effect of the payment of a deposit on the time of supply. The statement considers the application of s [9\(1\)](#) in relation to the payment of a deposit in the following circumstances:

- # a payment made under an unconditional contract
- # a payment made under a conditional contract
- # a payment made when no contract exists.

The interpretation statement provides that, where no invoice has been issued, the receipt of a deposit will generally trigger the time of supply in both conditional and unconditional contracts. However, the time of supply will not be triggered where the deposit for a supply is received by a person as a stakeholder.

Question We’ve Been Asked, [QB 14/10](#): “Goods and services tax — whether a binding contract always establishes a transaction giving rise to a supply for section [9\(1\)](#) purposes” concludes that generally such a transaction can be assumed where there is a binding contract. However, in some circumstances, the requirements for a contract may be satisfied but the binding contract will not establish there is a transaction giving rise to a supply for s [9\(1\)](#) purposes. This would be the case where the making of a supply is factually or legally impossible from the outset or becomes impossible before s [9\(1\)](#) can apply to determine the time of supply, or where the contract is used to commit fraud with no intention of making a supply, or found to be void, a sham or otherwise legally ineffective. No GST consequences can attach in such circumstances. The QWBA also provides some practical guidance regarding the GST treatment of supplies that are impossible to make from the outset or become impossible to make at various points in time.

For further discussion on the time of supply rules as they relate to payment of deposits and real property transactions, see [¶32-510](#) and [¶32-520](#).

Law: GST ss [2\(1\)](#) (“invoice”), [9](#)

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